



green mobility

What's Happening Around the World?

"I think there are more politicians in favour of electric cars than against. There are still some that are against, and I think the reasoning for that varies depending on the person, but in some cases, they just don't believe in climate change—they think oil will last forever." — Elon Musk, CEO of Tesla Motors and SpaceX

Are we seeing any changes in the way people address the global warming crisis, or are we yet to see them? That is the question. Whether you happen to be optimistic or not about the world's response to climate change, there is little doubt that the world is moving briskly towards a greener culture. From how we grow our food to how we make our cars, we are going green. We are also, slowly but surely, committing ourselves to a greener future, backed by the agreements that nations are signing to make this happen.

India is committed to the Paris Agreement

on climate change, and the government is taking quick steps towards complying with its requirements. This April, Union Coal and Power Minister Piyush Goyal stated that India will turn into a 100 per cent electric vehicle (EV) nation by 2030! As a follow up to this commitment, the National Electric Mobility Mission Plan (NEMMP) has made a roadmap that envisions the country building up its capabilities sufficiently to manufacture 7 million electric and hybrid vehicles by 2020. This would really help to cut down the import of fossil fuels, and reduce the pressure that the oil bill places on India's foreign exchange reserves.

It is anticipated that our dependence on other forms of fuel will increase too, and renewable energy sources will play a huge role in the nation's march into the future. If such projections hold true, it will be a marked improvement from India's current state of heavy dependence on fossil fuels.

The graph in Figure 1 indicates that renewables will be the main source of energy and power in India by 2040, with a 35 per cent share. If the government vision of 100 per cent EVs by 2030 turns into reality, these vehicles will play a big role in the renewable energy sector.

Now, let's take a broader view, and consider the leading countries in the world that have taken to EVs and contributed to this segment's growth.

China

This is a country that has challenged the norms in every industry. In every field, it has rewritten the rules and emerged as a leader and, hence, is unlikely to get left behind in the EV race! China has easily overtaken USA in this field because of the increased adoption of EVs, both in terms of manufacturing capabilities and usage within the country. And government policies conducive to environment protection have helped in its adoption. There are cities in China that have strict rules for new vehicle purchase and retirement. And above all, China is a leader in the deployment

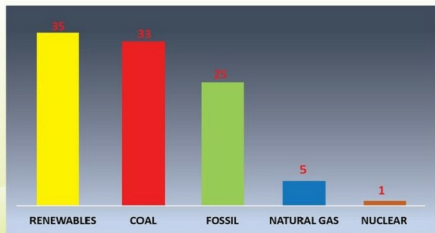


Figure 1: India's energy mix in year 2040 (per cent)

Source: World Energy Outlook, 2016

